Assignment # 1

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Sec: 7E

Subject: Economics and Management (HS-412)

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Question 1:

Relate linkage between Money -Time relationship. Identify reasons that lead to devaluation of money or currency with the passage of time.

Answer 1:
Relationship Between Money and Time:

The Money–Time relationship (also called the Time Value of Money, or TVM) explains that money has different values at different points in time.
A rupee (or dollar) today is worth more than the same rupee in the future because it can be invested or used to earn returns.

Key Principles:

1. **Present Value (PV):**
   The value of a future sum of money today.
   Example: How much is Rs.10,000 received after 5 years worth today if the interest rate is 10%?
2. **Future Value (FV):**
   The value of today's money at some point in the future after earning interest

or returns.
Example: If you invest Rs.10,000 at 10% for 5 years, it grows to Rs.16,105.

3. **Annuity:**
A series of equal payments made over regular intervals (like monthly or yearly installments).

Conceptual Link:

Time influences the purchasing power and earning capacity of money.

- The sooner you receive money, the more valuable it is.
- The longer money is tied up or delayed, the less valuable it becomes.

Reasons for Devaluation of Money or Currency Over Time:

The value of money decreases (devaluation) as time passes. This happens when the same amount of money buys fewer goods and services than before — meaning the purchasing power declines.

1. Inflation

- The most significant cause of devaluation.
- Prices of goods and services rise due to higher production costs, increased demand, or government policies.
- Example: If inflation is 8% per year, Rs.100 today will only buy goods worth Rs.92 a year later.

2. Exchange Rate Fluctuations

- The value of local currency against major currencies (like the US Dollar) acts as an indicator of economic stability.
- If the local currency weakens (e.g., Rs.100 = $1 becomes Rs.120 = $1), imports become costlier, leading to overall price increases.

3. Economic Conditions and Foreign Reserves

- Low foreign exchange reserves or trade deficits (when imports exceed exports) can reduce confidence in the currency, leading to its devaluation.
- Conversely, strong reserves and positive current account balances strengthen the currency.

4. Interest Rate and Investment Opportunities

- When interest rates or returns on investment decrease, money earns less over time.
- People need more money in the future to achieve the same level of consumption or wealth.

5. Government Debt and Money Supply

- When governments print more money to cover expenses, the supply of money increases but the value of each unit decreases.
- This leads to currency devaluation and inflationary pressure.

6. Loss of Confidence and Political Instability

- If investors lose trust in a country's economic or political stability, they move their investments elsewhere, reducing the value of its currency.

Conclusion:

The linkage between money and time reflects the changing value and purchasing power of money as time passes.
Money loses value mainly due to inflation, currency depreciation, and reduced earning capacity**.**
Therefore, financial decisions — like investments, savings, and lending — always consider the time value of money to maintain or grow wealth over time.